issue of the pay order to Ketan, MMCB had already been hollowed out. Ketan presented the pay order to Bank of India, which released the money to him. When Bank of India presented the pay order to MMCB for the money, the pay order, naturally, bounced.

Only too aware of the fate that befell the officials at SBI who allowed Harshad more time to settle his accounts, Bank of India chairman V. Krishnamurthy showed no such leniency to Ketan. He promptly called in the CBI, and on 30 March, a Friday, Ketan was arrested after market hours.

Interestingly, the market shrugged off the development. The Sensex fell barely 40 points on Monday.

'Looks like people don't have anything left to sell,' Prakash remarked, when we discussed the market that evening.

A major casualty of the stock market crash was UTI's flagship mutual fund scheme US-64. Just before it went under in July 2001, the scheme had 1.9 crore unitholding accounts – 99 per cent of them belonging to retail investors – and around Rs 16,500 crore of funds under management. A flawed pricing mechanism meant that the price at which investors purchased US-64 units, as well as the price at which they sold the units back to UTI, had no relation to the NAV – or the true value – of the scheme. UTI would increase the sale and repurchase of US-64 by 20 paise every month. To a large extent, these fresh inflows helped pay the unit holders who wanted to exit. Such a pricing mechanism gave certain returns to existing and exiting investors, but also created the perception among investors that US-64 was an 'assured returns' scheme without any risk. Till the early 1990s, equity investments accounted for 20 per cent of the US-64 portfolio, and debt instruments for the rest. By June 2001, as the bull run was in its death throes, equities accounted for 75 per cent of US-64's portfolio, and included a good many dubious stocks purchased for nefarious reasons.

Despite its deteriorating asset quality, the scheme had managed to stay afloat for longer than most people thought it would. As with Ponzi schemes, the steady inflow of fresh money from new investors helped pay off the exiting investors in US-64. But once inflows dried up, around March 2001, it became an uphill task for US-64 to meet redemption requests. Rumours of a crisis at UTI started doing the rounds, leading to more redemption requests from unitholders. Corporations and institutional investors started pulling out in droves from May onwards, sensing their investments were in